

HIGH COURT · JUDGMENT DIGEST

Reliance Projects & Property Management Services Ltd. v. State of U.P. & Ors.

Writ-C No. 32408 of 2023 | 2026 SCC OnLine All 3330 | High Court of Judicature at Allahabad | reserved 12 Feb 2026, decided 24 April 2026

COURT	High Court of Judicature at Allahabad (Division Bench)
CORAM	Hon'ble Ajit Kumar, J. & Hon'ble Swarupama Chaturvedi, J. (judgment delivered by Swarupama Chaturvedi, J.)
DATE OF JUDGMENT	24 April 2026 (Reserved 12.02.2026; CIRP commenced 18.05.2018; resolution plan approved by NCLT 3.12.2020; implemented effective date 22.12.2022)
NATURE OF PROCEEDING	Writ Petition under Article 226 of the Constitution of India challenging recovery certificates and demands for electricity dues pertaining to the pre-resolution period (prior to 22-12-2022) after approval and implementation of a resolution plan under the Insolvency and Bankruptcy Code, 2016
PARTIES	Reliance Projects & Property Management Services Ltd., the successful resolution applicant and successor to Reliance Infratel Ltd. (petitioner) v. State of U.P. and Others, including the respondent distribution companies and electricity regulatory authorities (respondents)
PROVISIONS	Sections 9, 14, 30, 31, 238 of the Insolvency and Bankruptcy Code, 2016; Sections 50, 56, 173, 174, 175, 181(2)(x) of the Electricity Act, 2003; Clauses 4.3(f)(iv) and 6.15 of the U.P. Electricity Supply Code, 2005; Article 226, Constitution of India
RESULT	Writ Petition allowed. The impugned demand notices and recovery certificates (kurki proceedings) issued by the respondent authorities, to the extent they relate to electricity dues for the period prior to the effective date 22-12-2022, are quashed. The respondent authorities are at liberty to issue fresh demand notices for dues arising after the effective date 22-12-2022, in accordance with applicable law. No order as to costs.

POINT FOR DETERMINATION

- Whether the Insolvency and Bankruptcy Code, 2016 (Sections 31, 238) overrides the Electricity Act, 2003 (Sections 173–174) and thereby bars a distribution company from raising demands for electricity dues pertaining to the pre-resolution period after the resolution plan has been approved and implemented.
- Whether respondent electricity authorities can raise and enforce demands for statutory dues after implementation of a resolution plan when they have neither filed a claim during the Corporate Insolvency Resolution Process (CIRP) nor objected to the approved resolution plan before the NCLT.
- Whether any liability for electricity dues not mentioned in the approved resolution plan can be imposed upon the successor entity (resolution applicant) for any duration prior to the effective date of implementation, having regard to the express terms of the resolution plan and Section 31 of the IBC.
- Whether the impugned demands for electricity dues, recovery certificates, and consequential coercive measures (disconnection and sealing of assets) are sustainable in law in light of the binding effect of the approved resolution plan and the clean-slate doctrine.

FACTS

An insolvency petition under Section 9 of the IBC was admitted by the NCLT, Mumbai on 15-5-2018 against Reliance Infratel Ltd. (RITL); the Corporate Insolvency Resolution Process (CIRP) commenced on 18-5-2018 with appointment of the Interim Resolution Professional (IRP). Public announcements were made on 21-5-2018 and 7-5-2019 inviting all creditors, including distribution companies (DISCOMs), to submit proof of claims; the IRP also issued letters dated 25-7-2019 and 22-8-2019 to all electricity authorities calling for claims. No claim was filed by any of the respondent distribution companies during the CIRP.

The resolution plan submitted by Reliance Projects & Property Management Services Ltd. (RPPMSL) was approved by the Committee of Creditors on 2-3-2020 and subsequently approved by the NCLT by order dated 3-12-2020. The NCLT order was challenged before the NCLAT and further before the Supreme Court; however, the Supreme Court by order in Civil Appeal No. 676 of 2021 (Pratap Technocrats v. Monitoring Committee) upheld the approval order on 10-8-2021.

Due to inter-creditor disputes and challenges to the resolution plan, final implementation was delayed. The NCLT on 21-11-2022 permitted deposit of the Total Resolution Amount in an escrow account with the State Bank of India. On 22-12-2022, the minutes of the 20th meeting of the Committee of Creditors recorded that all implementation steps contemplated in the resolution plan had been completed; the Effective Date was fixed as 22-12-2022, when RPPMSL assumed management and operational control of RITL following the deposit of the resolution amount. RITL was subsequently merged into RPPMSL with effect from 22-12-2022 (pursuant to NCLT orders dated 11-5-2023 and 7-8-2023).

After full implementation of the resolution plan, the respondent distribution companies issued recovery certificates and raised demands against RITL (now RPPMSL) for electricity dues pertaining to periods prior to 22-12-2022; electricity supply to mobile tower sites was disconnected with a demand for payment of arrears as a precondition for reconnection. The petitioner challenges these demands as extinguished under Section 31 of the IBC, citing the clean-slate doctrine and relying on the approved resolution plan dated 25-11-2019, Clause 1.2.6 of which provides that upon payment of the resolution amount on the Effective Date, all claims not forming part of the plan stand extinguished.

REASONING OF THE COURT

HEADNOTE

Upon approval and implementation of a resolution plan under the Insolvency and Bankruptcy Code, 2016, electricity dues pertaining to the pre-resolution period are extinguished if they were not filed as a claim during the CIRP and do not form part of the approved plan. The Insolvency and Bankruptcy Code (Sections 31, 238) overrides the Electricity Act, 2003 (Sections 173–174) and subordinates the electricity distribution company’s statutory recovery powers to the IBC’s comprehensive regime. An electricity authority that neither filed a claim during CIRP nor objected to the resolution plan cannot subsequently raise and enforce demands for pre-resolution dues against the resolution applicant. The Court applies the clean-slate doctrine and the principle that time taken in litigation does not prejudice the resolution applicant, holding that the effective date of liability is the date of actual implementation (when funds are deposited and management transfers), not merely the date of NCLT approval. Pre-resolution electricity dues stand extinguished; demands for post-resolution dues may be raised in accordance with the Electricity Act.

Section 238 of the IBC creates absolute overriding effect over Sections 173–174 of the Electricity Act, notwithstanding both statutes contain non-obstante clauses. The Court held that where two enactments are irreconcilably inconsistent, the later enactment must prevail under the principle ‘leges posteriores priores contrarias abrogant.’ The IBC is a later, comprehensive legislation consolidating and amending insolvency laws with a specific statutory objective to maximize asset value and revive corporate debtors in a time-bound manner. Section 238 of the IBC contains a non-obstante clause in the widest terms asserting that IBC provisions shall have effect ‘notwithstanding anything inconsistent therewith contained in any other law for the time being in force.’ Although Sections 173–174 of the Electricity Act, 2003 also contain non-obstante clauses, when two such clauses conflict, the later Act prevails; accordingly, Section 238 of the IBC overrides the Electricity Act’s provisions, rendering unworkable any claim by electricity authorities to recover dues outside the IBC framework. ¶ 42–48

Claims not filed during CIRP and not included in the approved resolution plan stand extinguished under Section 31(1) of the IBC; respondents having failed to file claims cannot subsequently raise demands. The Supreme Court in *Ghanshyam Mishra and Sons Pvt. Ltd. v. Edelweiss* held that once a resolution plan is approved by the adjudicating authority, all claims not forming part of the plan stand extinguished on the date of such approval, and no person can initiate or continue proceedings in respect of such claims. In the facts of this case, no claim was filed by any respondent distribution company during the CIRP despite public announcements on 21-5-2018 and 7-5-2019 and individual letters from the RP on 25-7-2019 and 22-8-2019. The resolution plan approved by the NCLT on 3-12-2020 did not include any electricity dues for the pre-CIRP period. The respondents had multiple opportunities to file claims or challenge the plan before the NCLAT and Supreme Court but chose neither to file nor to object. Consequently, electricity dues for the pre-CIRP, CIRP, and monitoring-committee periods stand extinguished by virtue of Section 31 of the IBC and Clause 1.2.6 of the resolution plan, and cannot be enforced against the resolution applicant. ¶ 49–58

The effective date of liability is the date of actual implementation (deposit of resolution amount and transfer of management), not the date of NCLT approval, particularly where litigation has caused delay beyond the parties' control. While the NCLT order dated 3-12-2020 approved the resolution plan and stated it shall be effective from the date of that order, Clause 1.2.6 of the resolution plan itself expressly provides that liabilities shall commence from the 'Effective Date' (defined as the date when the resolution amount is paid into the designated account and implementation steps are completed). The resolution plan could not be implemented within the originally contemplated timeline because the NCLT order was challenged before the NCLAT, stayed on 30-5-2018, then the petition was withdrawn on 30-4-2019; the approval order was assailed again before NCLAT and the Supreme Court, with the Supreme Court finally upholding it in August 2021. Further delays occurred in resolving inter-creditor disputes; the Supreme Court in *State Bank of India v. Doha Bank Q.P.S.C.* directed deposit in an escrow account. Full implementation occurred only on 22-12-2022 upon deposit of the resolution amount. The Court invoked the Latin maxim 'actus curiae neminem gravabit' (an act of Court shall prejudice no one) and relied on *Arcelor Mittal India v. Satish Kumar Gupta*, where the Supreme Court held that time taken in litigation ought to be excluded from the period for measuring delay in insolvency resolution, to avoid prejudicing a good resolution plan. Accordingly, the effective date for commencement of liability is 22-12-2022, the date of actual implementation and transfer of control, not 3-12-2020 (the NCLT approval date).

¶ 59–70

The impugned demands, recovery certificates, and coercive measures cannot be sustained because they pertain to extinguished claims and the respondents acted in breach of the binding effect of the approved resolution plan. The Court held that the sustainability of demands and coercive actions must be tested against the finality accorded to the approved resolution plan under Section 31 of the IBC and against the statutory framework. The resolution plan, once approved by the NCLT and upheld on appeal, is binding on all stakeholders, including statutory authorities, under Section 31(1) of the IBC. The claims in question pertain to the pre-CIRP, during-CIRP, monitoring-committee, and pre-effective-date periods for which no claim was filed by respondents, and hence they are extinguished under Section 31 and Clause 1.2.6 of the plan. The respondents have no authority to raise demands for extinguished claims or to enforce them through recovery certificates and disconnection. The IBC operates as a time-bound, self-contained mechanism where the binding nature of an approved plan, once it attains finality, necessarily governs the rights of all stakeholders. Three distinct phases precede the final phase: (1) pre-CIRP dues, extinguished if not filed; (2) CIRP-period dues, extinguished if not presented as CIRP costs or included in the plan; (3) monitoring-committee phase, where operational costs settle until the effective date. Only liabilities arising in the final phase (from the effective date onwards) can be validly claimed. Accordingly, the impugned demand notices and recovery certificates, to the extent they seek recovery for the period prior to 22-12-2022, cannot be sustained in law and are liable to be set aside.

¶ 71–82

INTERPRETATION OF THE ELECTRICITY STATUTES

STATUTORY HIERARCHY; IBC SUPREMACY OVER SECTOR-SPECIFIC LAWS; EXTINGUISHMENT OF CLAIMS; CLEAN-SLATE DOCTRINE; EFFECTIVE DATE IN RESOLUTION IMPLEMENTATION

Section 31 of the IBC — binding effect of approved resolution plan on all stakeholders, including statutory authorities

Section 31(1) of the IBC provides that an approved resolution plan is binding on the corporate debtor and all its stakeholders, including Central and State Governments and any local authority to whom statutory dues are owed. The plain language makes it clear that creditors claiming statutory dues (such as electricity authorities) are included within ‘stakeholders.’ Once the plan is approved by the adjudicating authority, all claims not forming part of it stand extinguished, and no person can initiate or continue proceedings in respect of such claims. This binding effect is absolute and cannot be circumvented by a creditor’s attempt to pursue parallel recovery under a sectoral statute such as the Electricity Act. ¶ 43, 51, 85

Section 238 of the IBC — absolute overriding effect over inconsistent provisions of other laws, including non-obstante clauses

Section 238 states that the provisions of the IBC shall have effect ‘notwithstanding anything inconsistent therewith contained in any other law for the time being in force.’ When a conflict arises between the IBC and another statute (such as the Electricity Act, 2003), the principle of statutory interpretation ‘leges posteriores priores contrarias abrogant’ applies: the later enactment must prevail to the extent of inconsistency. Although Sections 173–174 of the Electricity Act contain their own non-obstante clauses, claiming supremacy over ‘any law’ and ‘any agreement,’ the IBC as the later, comprehensive framework supersedes them. This interpretation accords with the legislative intent underlying the Preamble to the IBC, which aims to consolidate and amend laws relating to insolvency resolution in a time-bound manner, maximizing asset value while balancing stakeholder interests. If pre-resolution claims were permitted to be raised by relying on sector-specific statutes, the IBC scheme would become unworkable. ¶ 44–48, 82

The clean-slate doctrine — a successful resolution applicant takes over the corporate debtor free of past liabilities not included in the plan

The Supreme Court in *Ghanshyam Mishra and Sons Pvt. Ltd. v. Edelweiss* (applied in this judgment) held that upon approval of a resolution plan, the successful resolution applicant is entitled to take over the corporate debtor on a ‘clean slate,’ the entity being free from past liabilities except those specifically preserved in the resolution plan. This principle reflects the IBC’s core objective: providing certainty to resolution applicants regarding which debts they will assume, thereby encouraging participation in the insolvency process and facilitating corporate revival. The clean-slate doctrine is binding on all stakeholders, including statutory authorities, and cannot be circumvented by invoking statutory recovery powers under the Electricity Act. Electricity dues that were not claimed during CIRP and not included in the approved plan are extinguished and do not attach to the successor entity. ¶ 51, 54, 85

K.C. Ninan v. Kerala State Electricity Board — statutory charge for electricity arrears applies only outside the IBC framework

The Supreme Court in *K.C. Ninan* held that electricity utilities may create a statutory charge to recover arrears from subsequent transferees through subordinate legislation or statutory conditions of supply, grounded in public interest. However, *K.C. Ninan* was decided without reference to the IBC and does not contemplate the comprehensive statutory framework of insolvency resolution. The *K.C. Ninan* doctrine applies only to ordinary property transfers outside the IBC context; it does not extend to property acquired by a resolution applicant under an approved IBC resolution plan. Once an IBC resolution process is initiated and an approved plan is implemented, the IBC’s scheme (including Section 238’s overriding effect and Section 31’s extinguishment mechanism) displaces sectoral recovery regimes such as the Electricity Act. Accordingly, *K.C. Ninan* is distinguished and does not afford the respondent electricity authorities any protection in this case. ¶ 42, 48

The effective date of liability under a resolution plan — the date of actual implementation, not merely the date of NCLT approval, when litigation causes delay

While an NCLT order approving a resolution plan confers legal sanction upon the plan, the commencement of liability depends on when the plan is actually implemented, including deposit of the resolution amount and transfer of management control. The resolution plan itself (Clause 1.2.6) specifies an ‘Effective Date,’ defined as the date when the resolution amount is paid into the designated account and stipulated implementation steps are completed. Where approval-stage litigation (before NCLAT or Supreme Court) causes delay in implementation beyond the originally contemplated timeline, such delay is not attributable to the resolution applicant or the corporate debtor; the Latin maxim ‘actus curiae neminem gravabit’ (an act of Court shall prejudice no one) ensures that time consumed in litigation is not imputed as a burden to the resolution applicant. The Supreme Court in *Arcelor Mittal* held that time taken in litigation ought to be excluded to preserve the IBC’s time-bound character and to ensure that a good resolution plan is not shelved due to judicial delay. Accordingly, the effective date is the date of actual implementation (22-12-2022), and liability commences from that date, not from the date of NCLT approval (3-12-2020) when the plan was still under litigation. ¶ 61–70

RATIO DECIDENDI

Upon approval and implementation of a resolution plan under the Insolvency and Bankruptcy Code, 2016, electricity dues pertaining to periods prior to the effective date of implementation are extinguished if they were not filed as a claim during the CIRP and do not form part of the approved resolution plan. The IBC, through Sections 31 and 238, overrides the Electricity Act, 2003 (Sections 173–174) and precludes an electricity distribution company from raising demands for such extinguished claims against the resolution applicant. A distribution company that neither filed a claim during CIRP nor objected to the approved resolution plan cannot subsequently enforce demands for pre-resolution dues. The effective date for commencement of the resolution applicant’s liability is the date of actual implementation (when the resolution amount is deposited and management control transfers), not the date of NCLT approval, particularly where litigation has caused delays beyond the parties’ control; time taken in judicial proceedings is excluded from the liabilities imposed on the resolution applicant. The clean-slate doctrine requires that the successor entity be free from past liabilities not specifically included in the resolution plan. Demands, recovery certificates, and coercive measures (such as disconnection) pertaining to pre-effective-date electricity dues are not sustainable in law and must be quashed.

ALSO HELD & OBITER

- **Post-effective-date electricity dues remain enforceable in accordance with the Electricity Act.** The Court observed in paragraph 86 that ‘if there is any demand pre-effective date, then the same cannot be claimed being extinguished claim and if the demand is regarding post-effective date then the parties have got remedy under Electricity Act.’ This indicates that electricity dues arising after the effective date (22-12-2022) continue to be governed by the Electricity Act and may be demanded and recovered in accordance with that law, subject only to the proviso that statutory charges for past arrears of the erstwhile company cannot be imposed on the successor as a condition for reconnection.

DISPOSITION

The writ petition is allowed. The impugned demand notices, recovery certificates, and kurki (attachment) proceedings issued by the respondent authorities, to the extent they relate to electricity dues for the period prior to the effective date 22-12-2022, are quashed and set aside. The respondent authorities are, however, at liberty to issue fresh demand notices for any dues arising after the effective date 22-12-2022, in accordance with applicable law. No order as to costs. ¶ 88–89

SIGNIFICANCE

A comprehensive statement of the clean-slate doctrine and the binding effect of approved resolution plans in the insolvency context. Four propositions emerge:

- **IBC overrides sectoral statutes absolutely; Section 238 displaces Electricity Act despite both containing non-obstante clauses.** Once an IBC resolution process is initiated and a plan is approved, the comprehensive statutory framework of the

IBC displaces sectoral recovery regimes. Section 238's non-obstante clause, being later in time and expressed in the widest terms ('notwithstanding anything inconsistent'), overrides even the Electricity Act's non-obstante clauses (Sections 173–174). This principle applies across all sectors: electricity, customs, taxation, arbitration. The corollary is that once insolvency is triggered, creditors (including statutory authorities) cannot pursue dual remedies; they must pursue their claims through the IBC's mechanism.

- **Non-filing of claims during CIRP results in absolute extinguishment under Section 31; no subsequent demands are permissible.** An electricity authority or any other creditor that fails to file a claim during the CIRP, despite public announcements and individual notice from the RP, loses the right to claim those dues. The approved resolution plan's binding effect under Section 31 extinguishes all claims not included therein. No creditor can circumvent this finality by invoking sectoral statutory powers to recover such dues after the plan is approved and implemented. This principle incentivizes early claim filing and prevents opportunistic later assertions of debt.
- **The effective date of a resolution plan is the date of actual implementation, not mere NCLT approval, when litigation causes delay.** A resolution applicant cannot be burdened with uncertain liabilities arising from delays caused by litigation at the approval stage. The maxim 'actus curiae neminem gravabit' ensures that time consumed in judicial proceedings (whether before NCLAT or Supreme Court) is not imputed as a delay attributable to the resolution applicant. The actual transfer of management and deposit of the resolution amount—not the date of NCLT order—marks the commencement of liability, ensuring that the IBC's time-bound character is preserved and that good resolution plans are not chilled by unexpected post-approval litigation-induced liabilities.
- **The clean-slate doctrine ensures certainty and encourages investment in distressed insolvency assets.** The successful resolution applicant is entitled to take over the corporate debtor free of past liabilities not specified in the approved plan. This clean-slate principle provides the certainty necessary to attract bidders to the insolvency process; without it, bidders would face unknown and potentially unlimited inherited liabilities, chilling participation. The doctrine is binding on all stakeholders, including statutory authorities, and cannot be overridden by invoking statutory charges created under sectoral laws such as the Electricity Act.
- **Electricity distribution companies participating in IBC liquidation/resolution cannot pursue parallel independent recovery against successors.** An electricity authority that has participated in the IBC process and had the opportunity to file claims is precluded from pursuing independent recovery against the resolution applicant. This prevents double recovery and respects the collective-action principle underlying insolvency law, wherein all creditors are treated according to a statutory waterfall and none may pursue individual remedies that circumvent the plan.

TABLE OF AUTHORITIES

Authorities substantively discussed by the Court in the course of reasoning, showing the treatment (applied, cited, distinguished) and the specific proposition each advances.

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Insolvency and Bankruptcy Code, 2016</i> Act No. 31 of 2016 · Statutory	Sections 9, 14, 30, 31, 238 establish the comprehensive regime for corporate insolvency resolution and liquidation; Section 31 makes an approved resolution plan binding on all stakeholders and extinguishes claims not included therein; Section 238 grants absolute overriding effect to the Code over all other laws.	The Court applied the IBC framework throughout, holding that Section 31 extinguishes electricity dues not filed during CIRP and not included in the approved plan, and that Section 238 displaces the Electricity Act's recovery powers. (¶ 43, 48, 51, 85)	Applied
<i>Electricity Act, 2003</i> Act No. 36 of 2003 · Statutory	Sections 50, 56, 173, 174, 175, 181(2)(x) establish the framework for electricity supply, disconnection for non-payment, and recovery of dues through various mechanisms; Sections 173–174 contain non-obstante clauses claiming overriding effect over other laws.	The Court cited this as establishing the ordinary framework for electricity dues recovery, but held that it is displaced by Section 238 of the IBC once an insolvency process is initiated. Although the Electricity Act's non-obstante clauses claim supremacy, they do not prevail over the IBC's later, comprehensive non-obstante clause. (¶ 42, 48)	Cited (as foundational framework, but subordinated to IBC)

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Ghanshyam Mishra and Sons Pvt. Ltd. v. Edelweiss Asset Reconstruction Co. Ltd.</i> (2021) 9 SCC 657 · Supreme Court of India	Once a resolution plan is approved by the adjudicating authority, all claims not forming part of the plan stand extinguished; the successful resolution applicant is entitled to a ‘clean slate’ free from past liabilities not included in the plan; no person can initiate or continue proceedings in respect of claims not part of the plan.	The Court applied this landmark judgment to hold that electricity dues for the pre-CIRP and CIRP periods, not filed by the respondents and not included in the approved resolution plan, stand extinguished. Reliance on <i>Ghanshyam Mishra</i> was placed at ¶ 22, 51, and 54, establishing the clean-slate doctrine as binding authority. (¶ 22, 51, 54)	Applied
<i>Paschimanchal Vidyut Vitran Nigam Ltd. v. Raman Ispat Private Limited</i> (2023) 10 SCC 60 · Supreme Court of India	The IBC overrides the Electricity Act, 2003 through Section 238’s non-obstante clause; an electricity distribution company, once it participates in an IBC proceeding, must pursue its claim through the liquidation/resolution waterfall and cannot independently demand payment from the resolution applicant.	The Court cited this (via the earlier reference in ¶ 48) as establishing that Section 238 of the IBC overrides Sections 173–174 of the Electricity Act, and distinguished the <i>Rainbow Papers</i> judgment on the grounds that <i>Paschimanchal Vidyut Vitran Nigam</i> addressed the waterfall mechanism (Section 53) applicable in resolution/liquidation contexts. The judgment provided key support for the principle that electricity distribution companies are bound by the IBC framework once they participate in insolvency. (¶ 48)	Cited

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Tata Power Western Odisha Distribution Ltd. v. Jagannath Sponge Pvt. Ltd.</i> (2023) 24 Comp Cas-OL 229 · Supreme Court of India	A power company cannot insist on payment of arrears (which must be paid under the waterfall mechanism) for grant of an electricity connection to a successful resolution applicant; the clean-slate principle would stand negated if the successful resolution applicant is asked to pay arrears of the corporate debtor.	The Court cited this to support the petitioner's argument that once a resolution plan is approved, the successful resolution applicant cannot be burdened with past liabilities. The Supreme Court in <i>Tata Power</i> held that the clean-slate principle is violated if the successor is forced to pay the debtor's arrears as a condition for connection. (¶ 50)	Cited
<i>RPS Infrastructure Ltd. v. Mukul Kumar</i> (2023) 10 SCC 718 · Supreme Court of India	Once a resolution plan is accepted by the Committee of Creditors, the finality of that decision cannot be easily interfered with; any subsequent claims raised after CoC acceptance are not entertained.	The Court cited this to support the principle that finality attaches to the CoC's decision on the resolution plan, and that respondents cannot raise claims for dues not included in the plan after such finality is achieved. (¶ 52)	Cited
<i>Vaibhav Goel v. Deputy Commissioner of Income-Tax</i> (2025) 8 SCC 511 · Supreme Court of India	All dues including statutory dues owed to Central Government, State Government, or any local authority, if not part of the resolution plan, stand extinguished; no proceedings can be continued for such dues for the period prior to the date of NCLT approval under Section 31 of the IBC.	The Court cited this to establish that the extinguishment of statutory dues extends to all forms of statutory authority, including electricity distribution companies. Vaibhav Goel confirms that the clean-slate doctrine applies to governmental and statutory dues equally. (¶ 53)	Cited

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Essar Steel India Ltd. Committee of Creditors v. Satish Kumar Gupta</i> (2020) 8 SCC 531 · Supreme Court of India	‘Operational Creditor’ includes Central Government, State Government, and local authorities to whom statutory dues are owed.	The Court cited this (via Ghanshyam Mishra) to establish that electricity distribution companies are operational creditors within the scope of Section 31, and therefore their dues are subject to the resolution plan’s binding effect and extinguishment provisions. (¶ 51)	Cited
<i>South East U.P. Power Transmission Company Limited v. Prescribed Authority</i> Order dated 24-4-2026 in Writ C No. 19391 of 2023 · High Court of Judicature at Allahabad	A successful resolution applicant must be permitted to take over the corporate debtor on a ‘clean slate’ free from past liabilities except those specifically preserved in the resolution plan; the IBC ensures that the entity emerges from insolvency in renewed form with past liabilities confined strictly to those recognized in the plan.	The Court cited a recent judgment of its own Division Bench applying Essar Steel and Ghanshyam Mishra principles to a similar electricity-dues dispute under the same resolution plan (Reliance Infratel), holding that the clean-slate principle is determinative. (¶ 54)	Cited

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>State Tax Officer (1) v. Rainbow Papers Ltd.</i> (2023) 9 SCC 545 · Supreme Court of India	Where a creditor has raised a claim before the CoC but the CoC fails to consider it, the adjudicating authority's satisfaction under Section 31 is vitiated.	The Court distinguished this case, holding that Rainbow Papers is inapplicable because there the claimant (State Tax Officer) had actually filed a claim before the CoC, which was ignored; whereas here, no electricity authority filed any claim during CIRP. Additionally, Rainbow Papers involved a resolution process (distinct from liquidation) and did not address the waterfall mechanism of Section 53. (¶ 55)	Distinguished
<i>Meghalaya Power Distribution Corporation Limited (MePDCL) v. Reliance Infratel Limited</i> 2025:MLHC:365-DB · High Court of Meghalaya at Shillong	Concerning the same Reliance Infratel resolution plan: a resolution plan, once approved by the NCLT and not declared invalid by a competent court, is presumed valid and binding; all debts not included in the plan prior to the effective date are deemed extinguished; an electricity authority is precluded from enforcing demands for pre-effective-date dues against the new entity.	The Court cited this as a parallel judgment by the Meghalaya High Court dealing with the identical resolution plan, holding (in agreement) that electricity dues prior to the effective date of 22-12-2022 are extinguished and cannot be enforced. The Meghalaya judgment confirms the principle that multiple jurisdictions have consistently applied the clean-slate doctrine to this plan. (¶ 56–58)	Cited (applied with agreement)

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>K.C. Ninan v. Kerala State Electricity Board and others</i> (2023) 14 SCC 431 · Supreme Court of India	Electricity utilities can create a statutory charge to recover arrears from subsequent transferees through subordinate legislation or statutory conditions of supply, grounded in public interest of protecting utility infrastructure.	The Court distinguished K.C. Ninan, holding that while it permits electricity authorities to recover arrears from subsequent transferees in ordinary property sales, it does not apply to IBC liquidation/resolution contexts where the comprehensive statutory regime of the IBC governs. K.C. Ninan was decided without reference to the IBC and does not contemplate Section 238's overriding effect. (¶ 42, 48)	Distinguished
<i>Innoventive Industries Ltd. v. ICICI Bank</i> (2018) 1 SCC 407 · Supreme Court of India	The IBC Preamble establishes the legislative intent to consolidate and amend insolvency laws in a time-bound manner, maximizing asset value and balancing stakeholder interests.	The Court cited this to establish the legislative purpose underlying the IBC, supporting the interpretation that Section 238's overriding effect must be read to ensure the IBC scheme functions effectively without interference from sectoral statutes. (¶ 46)	Cited

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Torrent Power Ltd. v. Ashish Arjunkumar Rathi</i> (2026) 266 Comp Cas 40 · Supreme Court of India	Judicial review of approved resolution plans under the IBC is limited; the scope of review is confined to strict statutory compliance under Sections 30(2) and 61(3); judicial intervention beyond the statutory confines undermines predictability and finality.	The Court cited this recent judgment to establish the principle that once a resolution plan is approved and implemented, courts should be slow to interfere with the commercial wisdom of the CoC, thereby supporting the binding effect of the plan against later challenges. (¶ 40)	Cited
<i>Arcelor Mittal India (P) Ltd. v. Satish Kumar Gupta</i> (2019) 2 SCC 1 · Supreme Court of India	Time taken in litigation before NCLT, NCLAT, or appellate courts ought to be excluded from the statutory timelines and delays attributed to a resolution process; the maxim ‘actus curiae neminem gravabit’ ensures that a good resolution plan is not shelved due to judicial delay.	The Court applied this principle to exclude the period of litigation (from 3-12-2020 NCLT approval to 22-12-2022 actual implementation) from being imputed as delay caused by the resolution applicant or the corporate debtor. This justified fixing the effective date as 22-12-2022 rather than 3-12-2020, ensuring that the resolution applicant is not burdened with unexpected liabilities arising from appellate courts’ decisions. (¶ 66–70)	Applied

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
Pratap Technocrats (P) Ltd. v. Monitoring Committee of Reliance Infratec Ltd. Civil Appeal No. 676 of 2021, order dated 10-8-2021 · Supreme Court of India	The NCLT's approval order for the Reliance Infratec resolution plan was upheld on appeal before the Supreme Court; no further challenge was entertained.	The Court noted that despite the NCLT approval order being challenged before NCLAT and Supreme Court, the Supreme Court dismissed the challenge, thereby upholding the validity of the approved plan. This factual history supports the conclusion that the resolution plan attained finality and binding effect on all stakeholders. (¶ 16)	Cited
State Bank of India v. Doha Bank Q.P.S.C. Civil Appeal No. 8527 of 2022, interim order dated 30-11-2022 · Supreme Court of India	The Supreme Court directed deposit of the resolution amount in an escrow account with the State Bank of India, removing a bar to implementation of the resolution plan.	The Court cited this to establish the factual timeline showing that implementation was delayed due to inter-creditor disputes and litigation, with the Supreme Court intervening to permit deposit and implementation to proceed. This supports the application of the 'actus curiae neminem gravabit' principle. (¶ 64)	Cited
Duncans Industries Ltd. v. A.J. Agrochem (2019) 9 SCC 725 · Supreme Court of India	Section 16G of the Tea Act, 1953 (requiring Central Government prior consent for winding up) is overridden by the IBC; the IBC supersedes substantive requirements of sectoral statutes.	The Court cited this (via the Paschimanchal Vidyut Vitran Nigam judgment) as a precedent establishing that the IBC overrides specialized statutes, supporting the conclusion that the Electricity Act is similarly overridden by Section 238. (¶ 48)	Cited

This digest is a condensed reference prepared from the text of the judgment. It is not a substitute for the full judgment and should be verified against the original before use.